



Introduction To Business LAW

Introduction to Business Law (Technische Universität München)



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INTRODUCTION TO BUSINESS LAW

WEEK 1

Statutory Law:

❖ **Private Law:**

- Contract Law, Property Law, Family Law, Inheritance Law, Trade Law, Company Law

❖ **Public Law:**

- Administrative Law, Tax Law, Environmental Law, Constitutional Law, Human Right Law.

❖ **Criminal Law**

Areas of Law:

- ❖ Civil Law
- ❖ Criminal Law
- ❖ Administrative Law

Legal Families:

❖ **Civil (Continental) Law:**

- French Origin: France, Belgium, Italy, Indonesia, Scotland, many African and South American countries.
- German Origin: Germany, Austria, Switzerland, Japan, China.

❖ **Common Law Family:**

- United Kingdom, United States of America, Canada, (India), Australia, New Zealand, Ireland, Hong Kong.

❖ **Nordic Law Family:**

- Denmark, Norway, Sweden, Finland.

Civil law countries are ruled by codified law statutes.

Case law countries are ruled by precedent cases. (önceki caselere bakıyorlar)

IRAC SCHEME

I = Issue

- Phrase the issue of the case.
- Who wants What from Whom and on Which legal basis?
- Do not forget to cite the correct (!) legal basis for the issue!

Example: Can A claim EUR 5,000 as a payment of a contract from B based on § 433 II BGB?

R = Rule / Relevant Law

- Identify the relevant provision and name it!
- Every claim/legal basis has different prerequisites that need to be fulfilled in order for it to apply.
- Name the prerequisites of the legal basis in general (shortly).

Example: For such a claim, there needs to be a sale of goods contract (§ 433 BGB). Such a contract is formed by two matching declarations of intent, both with the intention to be legally binding.

A = Application/Analysis

Argue here! → points

- After stating the rule, apply the rule to the facts of the case!
- Do not just restate the facts but apply the facts!

Example: A declaration of intent can be explicit or implicit. By saying, "I want to buy this jacket", A made an explicit declaration of intent to enter into a sales of goods contract.

C = Conclusion

- Always end a case analysis with a concluding statement.
- The statement should answer the issue raised in the first sentence of the case.

Example: As A and B have formed a valid contract, A can claim the payment of EUR 5,000 from B.

WEEK 2 - 3

Contracts:

❖ Offer

- Made by the offeror
- Legally binding (§ 145 BGB) until they are accepted, refused or no acceptance can be expected any more (§ 146 BGB)
- Offers need to contain all vital elements of the contract
- Offer vs. invitation to treat (invitatio ad offerendum)

❖ Acceptance

- Must match/ mirror the offer
- Amendments of an offer constitute a new(counter-)offer (§ 150)
- No express acceptance required (=implied acceptance)

❖ Intention to be legally bound

- Do the parties rely on the „agreement“, in particular on what the other party „promised“? Would they maybe even take it to court?
- *Indicators:*
 - Is consideration owed?
 - Are reimbursements for expenses owed?
 - Are we talking about a regular or a singular event?
 - Have the parties expressed how important the „agreement“ is for them?

Declaration of Intent (DOI)

DOI can be implicit, but silence is nearly always irrelevant!

Formal requirements for DOI:

- Usually, no particular form required (freedom of contract!).
- But: Statutory law (or the particular contract!) can prescribe special formal requirements
- If statutory requirement is breached, the DOI (=the contract) is void! § 125

Possible formal requirements (examples)

- Text form (§ 126b)
- Written form (§ 126)
- Notarial recording (§ 128)
- „Higher“ formal requirement is sufficient to satisfy „lower“ requirement.

-
- ✚ A contract is formed by offer and acceptance (**two matching declarations of intent (Dol)**), both with the intention to be legally binding.
 - ✚ The DOIs must **–at a minimum –** specify all **“essential aspects”** (essentialia negotii) of the contract.
-

How to interpret a Dol?

Problem 1: Language is not precise

Problem 2: People have different understandings and backgrounds.

§ 133- Interpretation of a declaration of intent

It is necessary to ascertain the true intention rather than adhering to the literal meaning of the declaration.

Beyanın gerçek anlamına bağlı kalmaktan ziyade gerçek niyeti tespit etmek gerekir.

§ 130- Effectiveness of a declaration of intent to absent parties

Dol becomes binding upon receipt. (DOI teslim alındıktan sonra aktif hale gelir)

❖ **Receipt of non-embodied Dol**

- When heard/seen by the recipient

❖ **Receipt of embodied Dol**

- If both parties are present:
 - when physically “taken “by the recipient
- If parties are not present:
 - When the Dol enters the recipient’s designated zone of control and
 - The recipient can be expected to take notice under common circumstances

Errors and Mistakes in Contracts - Honest“ Mistakes

- If the will behind the DOI does not correlate with the content of the DOI (§ 119 I) or if the DOI is transmitted incorrectly (§ 120)
 - Examples: **to misspeak, to mistype, to mix up terms**
- If the issuer is in error about an essential characteristic (§ 119 II)
 - **Price is not a characteristic!**
 - **Note:** Errors in motivation or changes of mind are not relevant!

Deceit and Duress (§ 123)

Decision-making can also be influenced by

❖ **Deceit**

Can also constitute fraud under § 263 of the Criminal Code

What about business negotiations?

❖ **Duress**

Can also be criminal duress under § 240 of the Criminal Code

Needs to take into account the whole situation; not all pressure is duress!

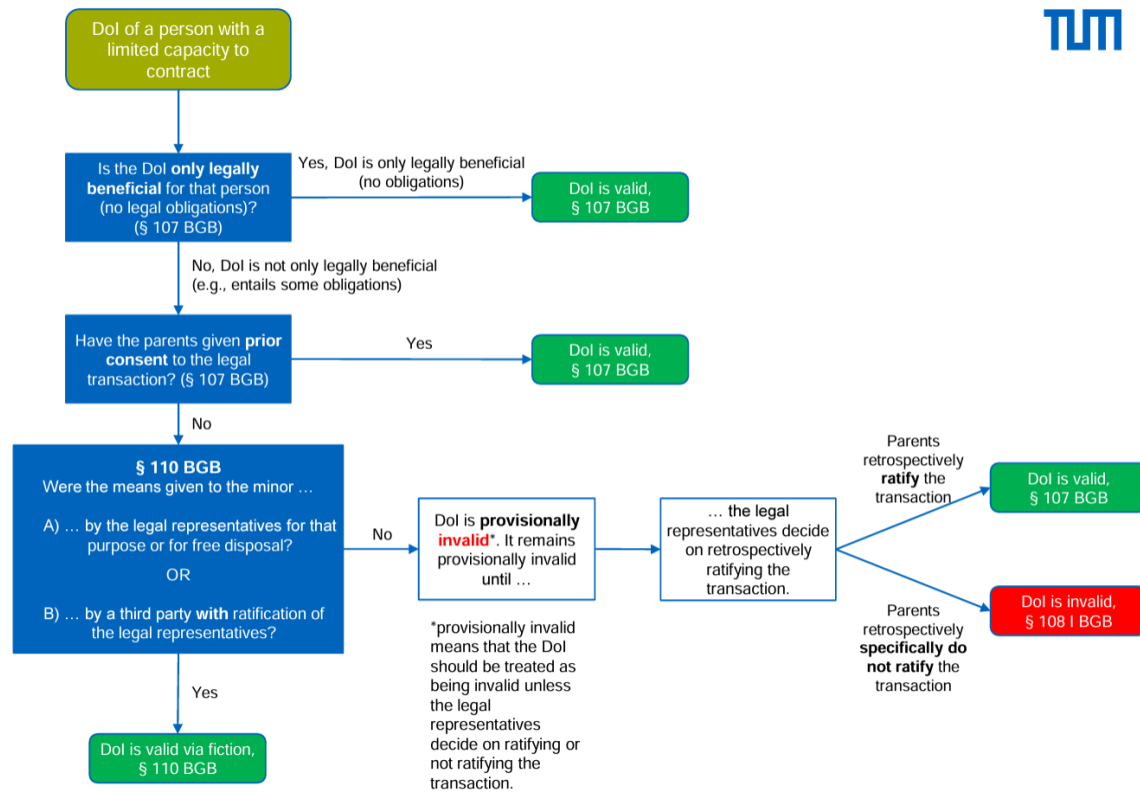
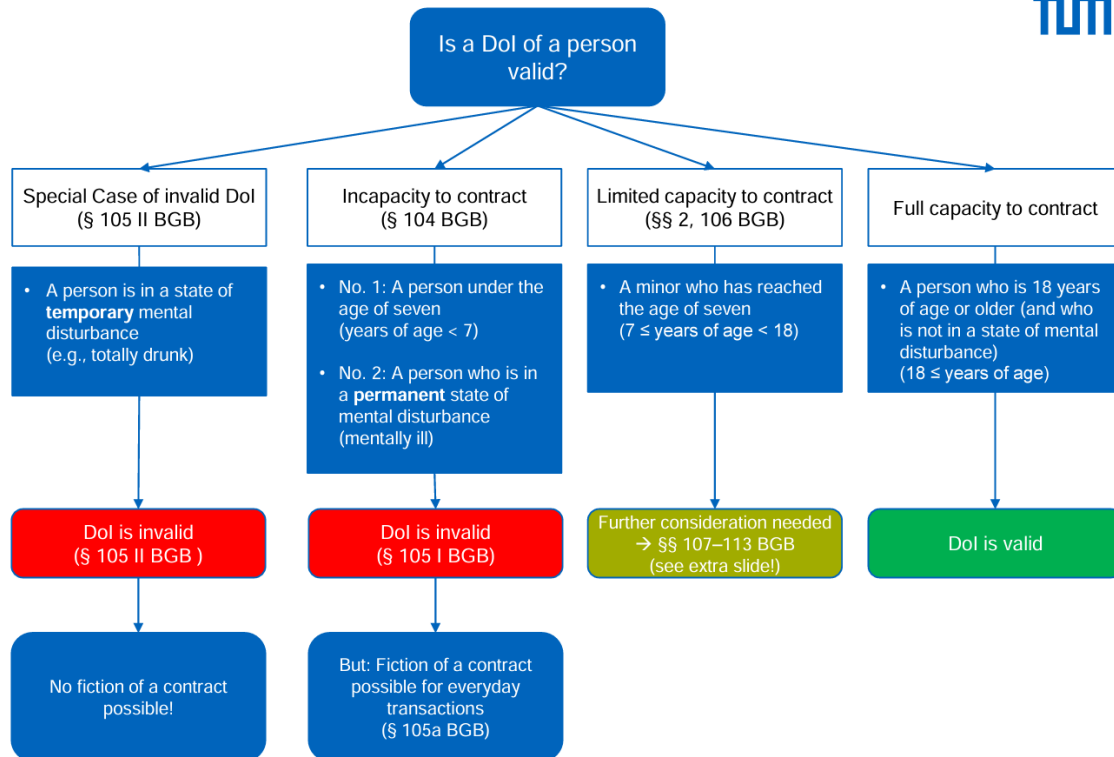
Consequences

- DOI is voidable
 - No compensation owed
 - Possible within one year (§ 124)
- *Intention = NİYET*
 - *letter of intent, meaning an “agreement to agree”*
 - compensation = tazminat

Duties arising from an obligation (§ 241 BGB)

Duties arising from an obligation (§ 241 BGB)		
Duties of Performance (§ 241 I BGB)		Accessory Duties (§ 241 II BGB)
Primary Duties of Performance	Secondary Duties of Performance	
e.g., § 433 I BGB (Seller): delivery of thing and procurement of ownership § 433 II BGB (Buyer): payment of purchase price	e.g., - Seller: accept money - Buyer: accept delivery/provide payment in an acceptable way	e.g., - duty of information - duty of care - duty to protect - etc.

- Breach: ihlal
- an advertisement is just an **invitation to treat**
- iki kişi arasında verilen bir söz, herhangi bir para veya çıkar karşılığı yoksa iptal edilebilir, herhangi bir contract yoktur.
- İlan vermek bir offer'dır ama contract yaptığı anlamına gelmez.
- Markette gördüğün fiyat ilanları bir ilandır (**invitation to treat**) ve contract değildir. Bu durumda sözleşme, bir teklifi, bir kabulü ve her durumda yasal olarak bağlanma / bir sözleşmeye girme niyetini gerektirir
- Counteroffer: 150 II BGB (önceki teklifi değiştirerek yeni teklif etme)



What is needed to form a contract?

- Two matching DoI with the intention to be legally binding
- an offer (§ 145 BGB)
- an acceptance (§ 147 BGB)

What are the vital elements of a sale of goods contract (§ 433 BGB)?

- Parties
- Price
- Good

What is the legal basis for claiming damage due to a breached contract, and what are the prerequisites?

§ 280 I BGB

- *Obligation*
- *Breach of duty*
- *Fault*
- *Damages*

Receipt of Dols

Some Dols need to be received by another party to become effective:

§ 130 I 1 BGB:

- If made in the other person's absence, the DoI becomes valid at the point of time when this declaration **reaches him/her**.
- A DoI reaches its recipient, when
 - **It has reached the “zone of influence” of the recipient, and**
 - **It can be expected from the recipient to take notice under ordinary circumstances.**

§ 130 I 2 BGB:

- The DoI, nevertheless, does not become effective if revocation of this DoI reaches the other party **previously** or **at the same time**.

Principle of Separation:

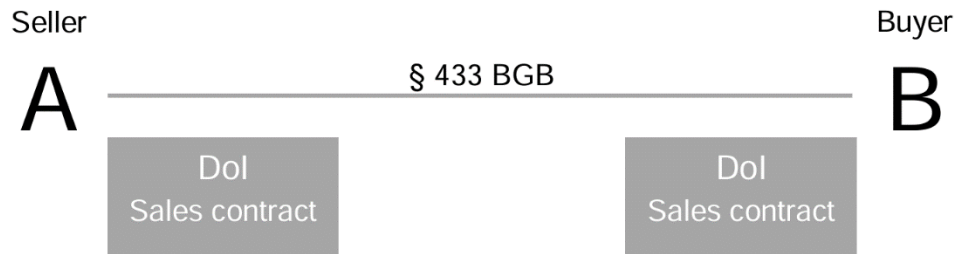
The principle of separation means that a distinction must be made between the transaction of obligation and the transaction of disposal.

Principle of Abstraction:

The principle of abstraction means that the obligation transaction and the disposal transaction can be effective independently of each other.

Principle of Separation & Principle of Abstraction

Example – Sale of Goods Contract



Result of the sale of goods contract:

- The parties are only obliged to pay the purchase price/transfer ownership!
- The ownership itself is not transferred!

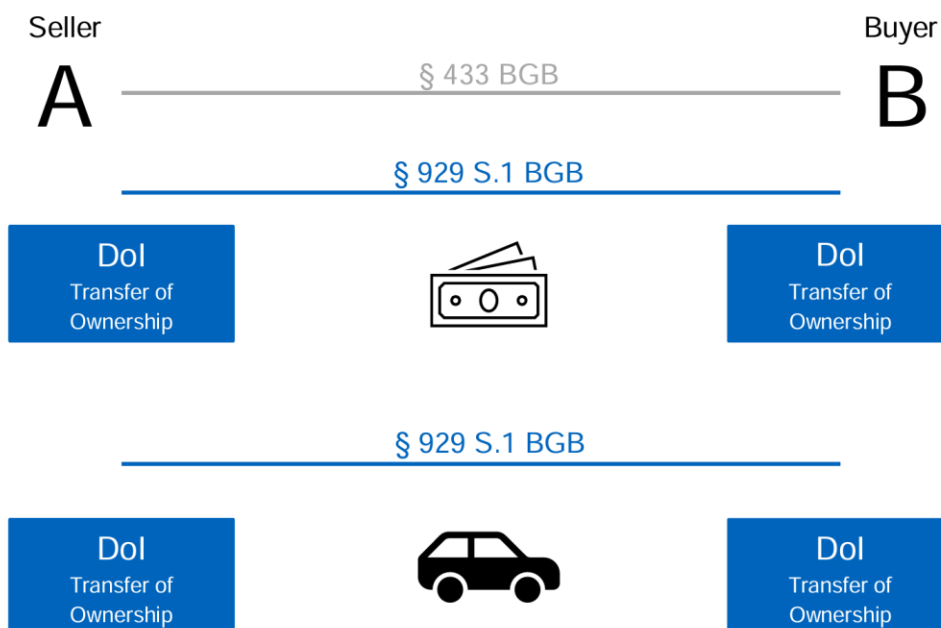
**Legal transaction that creates obligations for the parties
(e.g., sale of goods contract)**

≠

**Legal transaction(s) that fulfill the obligations
(e.g., transfer of ownership of the good/the money)**

Principle of Separation & Principle of Abstraction

Example – Sale of Goods Contract



WEEK 4

Requirements for valid representation (§ 164)

- ✓ *DOI by agent*
- ✓ *In the name of the principal*
 - *Exception: transaction „to whom it may concern“*
- ✓ *With authority / within the scope of power conferred by principal*

Unauthorized agents

- ✓ *Principal can confirm the contract, or refuse to do so (§ 177 I)*
- ✓ *If principal refuses, the unauthorized agent owes compensation to the other party, § 179 (simplified)*

Breach of Statutory Prohibition (§ 134)

Only if the legal transaction (=contract) is prohibited in principle, not just in the way it is executed.

Breach of Public Policy (§ 138)

§138 I: Transaction contrary to public policy

- *...if it is against the sense of decency of „just and fair“ people*
- *E.g. surrogate motherhood; having children as a reason for termination.*

§138 II: Extortion

- *disparity between performance and consideration alone is insufficient!*
- *rebuttable assumption of extortion if consideration is 100% above market price*

Ownership? → §929 S. 1 BGB

- a) Agreement (that ownership is to pass)
- b) Delivery (of the movable thing = money)
- c) Right to transfer ownership

To avoid a contract, there needs to be

- (1) a contract,
 - i. sales of good contract (§ 433 BGB)
- (2) a reason for avoidance,
- (3) a declaration of avoidance
 - i. § 143 BGB
- (4) within the specified period.
 - i. Within one year (§ 124 I BGB)
 - ii. Commencement at the time of discovery (§ 124 II BGB)

Transfer of ownership according to § 929 S. 1 BGB

- a) Agreement (that ownership is to pass)
Two matching Dols
- b) Delivery (of the movable thing = money)
- c) Right to transfer ownership

AGENT

... the agent does not act in the name of the principal?

- Then he acts in his own name; the Dol takes effect for and against the agent himself (§ 164 II BGB).

... the agent acts without authority (“without the power of agency”)?

- The contract requires ratification of the principal. Until ratification, the contract is provisionally invalid with regard to the principal (§ 177 I BGB).
- Ratification can be declared either to the agent or to the third party.
- If the third party requires ratification to be declared, it must be declared within two weeks only to him (§ 177 II BGB).
- Until ratification has been declared/refused, the other party can revoke the contract (§ 178 BGB).

...the agent acts without authority and ratification has been refused?

- The agent is liable to perform the contract or to pay damages – the other party can choose (§ 179 I BGB).
- If the agent was not aware of his lack of power of agency: He is only liable for damages as a result of the other party relying on the power of agency (§ 179 II BGB).
- If the other party knew (or ought to have known) the lack of power of agency: No liability of the agent (§ 179 III 1 BGB).
- If the agent has limited capacity to contract (e.g., minor): No liability of the agent unless the legal representatives have consented to the agency (§ 179 III 2 BGB)

... the agent is a minor?

- Then the effectiveness of a DoI made by or to the agent (= the minor) is not adversely affected by the agent having limited capacity to contract (§ 165 BGB).
- Agency is legally “neutral” (remember § 107 BGB)! Therefore, agency as such does not need the consent of the legal representative → Minors can be agents!

WEEK 5

- *Trader needs to provide additional information, § 312d*
- *Consumer has a right of withdrawal for 14 days (or longer), § 312g*

For off-premise contracts, § 312b

- *contracts that are formed in premises that are not the trader’s business premises, or*
- *on trader’s business premises, but where the consumer has been addressed and invited to the premises just an instant earlier, or*
- *on an excursion that was organized by the trader*

For distance contracts, § 312c

- *Contracts which are formed exclusively through means of distance communication (see examples in § 312c II)*

Exceptions (§ 312g II)

- *Customized goods*
- *Software with a broken seal / shrink wrap*
- *Newspapers; perishable goods*
- *Financial instruments traded at a stock exchange*

Declaration of withdrawal, § 355

❖ **DOI that needs to be received**

- But: DOI needs to be sent on time (not: received) (§ 355 I)
- Sent after 14 days after receipt of goods (§ 355 II, § 356 II)

❖ **No form required (anymore) (§ 355 II)**

- No reasons need to be given (§ 355 I)

What are standard business terms (§ 305 I)?

- pre-formulated for a multitude of contracts
- presented by one party to the other party
- no formal requirements (written form, text form, signposts...)

What are the Pros and Cons of SBT?

Pros	Cons
• Standardized contracts → higher efficiency • Risk limitation (e.g., retention of title) • Extension of the statutory provisions if these are not sufficient for the type of contract (e.g., franchising)	• One can hardly escape SBT in mass business • Review options are limited (especially for private individuals) • Amendments are difficult to achieve

Standard Business Terms (AGB)

➤ First issue:

- Do we have standard business terms (see previous slides)?
- If not: terms can only become part of the contract by “real” contractual agreement

➤ Second issue:

- have the standard business terms become part of the contract (§ 305 II)?
 - by direct reference or (if not possible) by giving notice of the existence of the terms and
 - gives opportunity to take notice of the terms and
 - the other party agrees (typically implicitly)
- If not: contract formed without the terms

What is the legal basis of the claim for restitution? What are the requirements?

→ § 812 I 1 Alt. 1 BGB:

1. Something obtained
2. As a result of the performance
3. Without legal grounds

What is the legal basis for a transfer of ownership? What are the requirements?

→ § 929 S. 1 BGB:

1. Agreement (that the ownership is to pass)
2. Delivery (of the movable thing)
3. Right to transfer ownership

What is required to avoid a contract/Dol?

1. Valid contract/Dol
2. **Reason** for Avoidance
3. **Declaration** of Avoidance (§ 143 I BGB)
4. **Within the period** specified by law (§ 121 I BGB or § 124 I BGB)

WEEK 6-7

Formation of contracts

a. Who can enter into contracts?

❑ Legal capacity, minors

b. How do we enter into contracts?

❑ DOI and its interpretation, elements of contract, agency, voiding contracts

c. Are there limits to contracts?

❑ Statutory prohibitions, non-discrimination, standard business terms.

WHAT IF PERFORMANCE IS IMPOSSIBLE, § 275 I BGB?

- ❖ 'Impossible' can mean different things (see **§ 275 I**)
- ❖ Consequence: no obligation to consideration (purchase price!), **§ 326 I**
- ❖ But (simplified), **§ 326 II**: consideration is owed if the creditor (the buyer!) is mostly responsible for impossibility under **§ 275 I**

WHAT IF PERFORMANCE IS DELAYED?

- ❖ Might give rise to damages due to temporary default (**§ 286**)
- ❖ or revocation (**§ 323**)

Breach of Contract: Damages

- Pivotal norm for contractual damages: **§ 280 I BGB**
- Two types of damages:
 - damages instead of performance (e.g., **§ 281**, **§ 283** or **§ 311a**)
 - damages in addition to performance (e.g., **§ 286**)
- Damages require an element of fault!
 - Either intentional conduct...
 - „I know what I am doing“
 - ...or negligent misconduct, **§ 276 I**
 - What is negligence? → **§ 276 II**
 - Includes gross negligence
 - Requirement can be modified in certain situations
 - e.g., **§ 311a**
 - This includes misconduct of legal representatives, **§ 278**
 - If the employee is negligent, it counts as the employer being negligent
 - Legal assumption in **§ 280 I S. 2**
- Requirements, **§§ 280, 286**:
 - Performance is possible and due
 - Failure to perform

- Negligence or intention for delay (**§ 280 I**)
- Warning notice
 - Not required if a time period for performance has been specified by the parties in the contract
- Special case:
 - If money is owed, default latest after 30 days after receipt of invoice (needs to be specified in the invoice for consumers)
- Consequence:
 - Default interest, **§ 288**

What are „damages“?

- What is owed?
 - Restoration, § 249 I
 - If damages are owed for injury of persons or damage of goods, the respective monetary amount can be required, § 249 II
 - If restoration is not possible or only possible with disproportionate expenses, compensation is money is owed, § 251 II
 - ✓ Remember the sad tale of Ferdinand! (next slide)
 - Contributory negligence, § 254
- What is included?
 - Lost profits, § 252
 - For non-pecuniary losses only if prescribed by law, § 253 I

Contracts: Revocation

- What is the consequence?
 - Reversing the contract, §§ 346–354 BGB
 - Parties need to be reinstated
- Requirements, § 323
 - Breach of contract: no performance or performance is not compliant with the contract, § 323 I
 - Specification of an additional period for performance, § 323 I
 - Specification is not required, § 323 II
 - if the other party seriously and definitively refuses performance or
 - If no performance at a certain date specified in the contract and the date is essential for the creditor
 - Breach is not trivial, § 323 V S. 2

NOTES

What is a declaration of intent?

→ Private declaration with the intent to be legally binding and triggering a legal consequence.

What Dols do we need to form a binding contract?

- Offer (§ 145 BGB)
- Acceptance (§ 147 BGB)
- Both with the intention to be legally binding

What are the vital elements of a sale of goods contract (§ 433 BGB), and what is the technical term?

- Price
- Good
- Parties

What is an invitation to treat, and what is the technical term?

→ The invitation to treat is an invitation to make an offer. It is usually made to a larger group of people, which is why the person declaring it lacks the intention to be legally bound by it. Therefore, it is no Dol. → invitatio ad offerendum

For such a claim, the following requirements must be met:

1. Obligation
2. Breach of Duty
3. Fault
4. Damages

For such a claim, the following requirements must be met:

1. harm caused to life, body, health, freedom, property, or another right of another person
2. harm caused by an action or omission (only if there is an obligation to act!)
3. causality between action and the harm
4. action unlawful (no justification such as self-defence)
5. fault element (intention/negligence)
6. financial loss as a result of the harm

What are the legal requirements for a valid representation and where can we find them?

→ **§164 I BGB**

1. DoI by an agent
2. In the name of the principal
3. With the authority of the principal

What if the agent acts without authority?

- The contract requires ratification by the principal.
- Until ratification, the contract is provisionally invalid with regard to the principal (**§ 177 I BGB**).
- Until ratification has been declared/refused, the third party can revoke the contract (**§ 178 BGB**).

What if the ratification has been refused?

→ The agent is liable – at the other party's choice – to perform the contract or to pay damages (**§ 179 I BGB**)

a minor be an agent?

→ (+), the DoI takes effect in favor of and against the principal. Therefore, the DoI is neutral for the minor acting as an agent (**§ 165 BGB**).

Is the minor liable if he acts as an agent but has no authority?

→ The minor is not liable for any faults unless he acted with the consent of the legal representative (**§ 179 III 2 BGB**)

Ex-post obstacle

- the performance became impossible **after** the conclusion of the contract
 - ✓ **§§280 I, III, 283, 275 IV BGB**
 - The debtor must be responsible for the impossibility itself.

Ex-ante obstacle

- the impossibility already existed **before** the conclusion of the contract
 - ✓ **§ 311a II, 275 IV BGB**
 - ✓ The obligation to pay damages only exists if the debtor knew about the impossibility or was responsible for his lack of knowledge (**§ 311a II 2 BGB**).
 - ✓ claim for compensation according to
 - ✓ **§§280 I, III, 283 BGB • (§284 BGB)**

General Contract Law Standard: B2B/C2C

Consumer Protection Law (B2C)

Definition: §§ 312 I, 310 III BGB

Sale of Goods Law §§ 433 et seqq. BGB

Purchase of
Consumer Goods
Definition: § 474 BGB

Duties arising from an obligation (§ 241 BGB)

Duties of Performance (§ 241 I BGB)

Accessory Duties (§ 241 II BGB)

Late Performance

- e.g.
- Buyer: does not pay purchase price (at all)
 - Seller: does not procure ownership

Bad Performance

- e.g.
- Buyer: does not pay purchase price fully
 - Seller: material or legal defects

Non- Performance due to exemption (§ 275 BGB)

- e.g.
- Seller: Sold car was destroyed by fire before the handover.

Breach of Accessory Duties

- e.g.
- Painter destroys a vase in the house of the customer during work.

- § 275 I BGB: **Physical** Impossibility
 - Subjectively for the debtor or objectively for everybody!
 - e.g., a sold car is destroyed
 - Actually, or legally impossible
 - Also:
 - purpose of the transaction already achieved
 - fixed-date transaction not honored
- § 275 II BGB: **Factual** Impossibility
 - fulfilling the obligation is possible in principle but requires a disproportionate effort
 - e.g., a sold ring falls into the ocean
- § 275 III BGB: **Personal** Impossibility
 - fulfilling the obligation is possible but cannot be expected of the debtor
 - e.g., the children of an opera singer have an accident, so she needs to attend to them instead of giving a performance

WEEK 8-9

- ❖ General Law of Obligations, **§§ 241 – 432**
 - Rules that apply to all kinds of obligations and contracts
- ❖ Special Law of Obligations, **§§ 433 – 853**
 - Sets out rules for specific types of contracts (and contract-like situations)
 - Examples: **sale of goods (§ 433), loan (§ 488), lease (§ 535), service (§ 611), partnership (§ 705)**
 - Special rules either complement or derogate general rules
 - If no specific rules exist, the general rules apply
- ❖ Types of defects:
 - Not of agreed quality etc, **§ 434 II** (subjective!)
 - If not agreed: not suitable for customary use, or what can be customarily expected, **§ 434 III** (objective!)
 - Not assembled correctly, **§ 434 IV**
 - Different thing delivered, **§ 434 V**
- ❖ Buyer's rights, **§ 437**
 - Cure, **§ 439**

- Revocation, **§ 440**
- Compensation, **§ 440**
- Reduction of purchase price, **§ 441**

❖ Limits:

- No buyer's rights if he was aware of the defect, **§ 442**
 - Or if he was unaware due to gross negligence (**read § 442 II!**)
- No buyer's rights if liability was excluded, **§ 444**
 - But not in consumer contracts.

Cure, § 439

❖ Procedure

- Buyer's choice: repair/remedy or delivery of new thing, **§ 439 I**
- Seller has to bear costs, **§ 439 II**
- Seller can refuse the buyer's choice if remedy/delivery comes with disproportionate expenses, **§ 439 IV**
- If new goods are delivered, the buyer needs to give back the defective goods, **§ 439 VI**

Revocation, § 440

❖ Prerequisites

- Material defect (of course), and
- Cure has not been effective, and
 - Seller refuses both types of cure, or
 - Cure was unsuccessful, or
 - Cure cannot be reasonably expected, or
 - If additional time period for performance has expired (§ 323 III!)
- Material defect is not trivial, § 323 V S.2

❖ Consequence

- Purchased item and purchase money need to be returned, § 346

Reduction of Purchase Price, § 441

➤ Prerequisites

- „Instead“ of revocation (→ consequence?)
- Includes trivial material defects, § 441 I S.2
- Overpaid amount needs to be returned, § 441 IV

➤ Calculation, § 441 III:

$$\frac{\text{Reduced Price}}{\text{Original Price}} = \frac{\text{Current Value (with defect)}}{\text{Potential value without defect}}$$

➤ Which means...

$$\text{Reduced Price} = \frac{\text{Current Value (with defect)} * \text{Original Price}}{\text{Potential value without defect}}$$

Reduction of Purchase Price, § 441

$$\text{Reduced Price} = \frac{\text{Current Value (with defect)} * \text{Original Price}}{\text{Potential value without defect}}$$

➤ Example:

- You buy a bike (on discount!) for EUR 1,200
- Regular listing price would have been EUR 1,500
- Gear shifting system has a defect; costs for replacement would be EUR 500.
- Shop owner fails to replace the system and refuses to give you a new bike; you have an old gear shifting system at home. You decide to fix the problem yourself and lower the purchase price
- What is the reduced price?

$$\text{Reduced Price} = \frac{1,000 * 1,200}{1,500} = \text{EUR 800}$$

Purchase of consumer Goods, § 474 I:

- ❖ Seller is a trader (**§ 14**)
- ❖ Buyer is a consumer(**§ 13**)
- ❖ Contract is about a movable thing (**§ 90**)
 - Also: software etc. delivered on a storage device, but not data as such

Consumer sale of goods contract

- ❖ either a tangible medium serving exclusively as a carrier of digital content, **§ 475a I**
 - example: data on USB stick
 - sale of goods law does NOT apply, instead: **§§ 327-327u**
- ❖ or relating to digital goods that are linked to the goods for sale, **§ 475a II**
 - example: smartphone with software
 - sale of goods law applies, but with modifications (**§§ 475a et seqq**)

Major changes:

- ❖ „material defect“ also exists if updates are not provided for a reasonable time, **§ 475b**
- ❖ **§§439 and 323** are modified to be more „consumer friendly“, e.g.
 - Immediate revocation possible if defect is particularly serious (**§ 475d I Nr. 3**)
 - Simple refusal to effect cure or one-off failed attempt sufficient (**§ 475d I Nr. 2**)

Power of Attorney, §§ 48 et seqq HGB

- ❖ Comprehensive authority for all matters of a business
 - (exception: real estate transactions), § 49
- ❖ No limitation possible, § 50
- ❖ Has to be granted by owner / head management
- ❖ Has to be put on the public register

What is a merchant?

- ❖ Defined in §§ 1-6 HGB
- ❖ Considered by law as a savvy professional
- ❖ Merchants are held to a higher standard

Sale of goods between merchants

➤ Requirements, § 377 HGB:

- Sale of goods (§ 433 BGB)
- Commercial transaction under the Commercial Code (§ 343 HGB)
 - = both parties are merchants

➤ Consequence:

- Purchaser is required to examine goods upon delivery instantly (if permitted by his business), § 377 I HGB
- Purchaser needs to notify seller instantly of any material defects, § 377 I HGB
- If the defect becomes apparent later (=could not be discovered upon examination), instant notice needs to be given, § 377 III HGB
- If purchaser does not meet these requirements, the goods are „approved“, § 377 II HGB → consequence?

Formation of Contract between Merchants

➤ Declaration of Intent and Silence

- Remember: silence has no relevance for contracts
- But exception: commercial confirmation letters
 - Customary law (what is that?!?), not regulated under statute!

➤ Requirements:

- Both parties are merchants
- Contract negotiations without conclusion
- Immediate confirmation, unanswered by the other party
- Content within the scope of negotiations
- Sender is in good faith

➤ Consequence:

- Contract formed with the content of the confirmation letter

What types of impossibility are there in § 275 BGB?

→§275 I BGB: Physical Impossibility

→§275 II BGB: Factual Impossibility

→§275 III BGB: Personal Impossibility

What legal bases for compensation are there in the case of impossibility, and what is the difference between them?

→§§311a II, 275 IV BGB when an ex-ante obstacle occurs

→§§280 I, III, 283, 275 IV BGB when an ex-post obstacle occurs

When is an element of fault needed in connection with impossibility?

→ For a claim for damages due to an ex-ante obstacle, the debtor must have known of the obstacle before entering into the contract or was responsible for his lack of knowledge (§ 311a II 2 BGB).

→ For a claim for damages due to an ex-post obstacle, the debtor must be at fault for the impossibility of performing.

Requirements of §§ 311a II, 275 IV BGB and §§ 280 I, III, 283, 275 IV BGB

Requirements of § 280 BGB:	Requirements of §§ 311a II, 275 IV BGB	Requirements of §§ 280 I, III, 283, 275 IV BGB
1. Obligation	1. Contractual Obligation	1. Contractual Obligation
2. Beach of Duty	2. Non-Performance due to exemption (§ 275 BGB) → obstacle occurred before the formation of the contract	2. Non-Performance due to exemption (§ 275 BGB) → obstacle occurred after the formation of the contract
3. Fault	3. Element of fault, § 311a II BGB → knowledge/negligent ignorance of obstacle	3. Element of fault, § 280 I BGB → obstacle itself
4. Damages	4. Damages	4. Damages

When did the damage occur?

- **Before the conclusion of the contract**

→ §§ 280 I, 241 II, 249 I BGB, § 311A II BGB

- **After the conclusion of the contract**

→ §§ 280–286 BGB

REVOCATION

Prerequisites of § 437 BGB: (Rights of buyer in the case of defects)

1. Sale of goods contract (§ 433 BGB)
2. Material defect (§ 434 BGB)
3. Material defect existed when the risk passed (§§ 446, 447 BGB)
4. No exclusion of buyer's rights (§§ 442, 444 BGB)

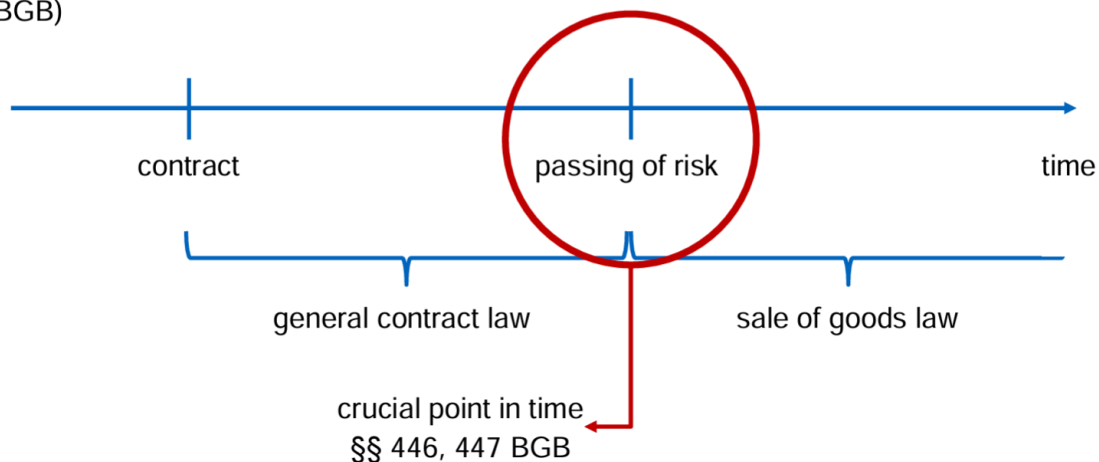
-->Buyer's rights (§437 BGB)

Sale of Goods Law

Passing of Risk

→ The Seller shall just be responsible for material defects if he/she delivered the product with such a defect. After the passing of risk, the buyer is responsible.

→ Distinction: general contract law (§§ 241–432 BGB) vs. sale of goods law (§§ 433 et seqq. BGB)



WEEK 10

TORTS

What is a 'tort'?

- ❖ Damages/Compensation under contract and under tort
 - they can apply simultaneously
 - 'pizza driver example'
- ❖ Torts (and also: criminal law) as deterrent against unwanted behaviour
- ❖ miscreant is called 'tortfeasor'

Two possible approaches

- Focus on the behavior (e.g., tort of negligence; tort of deceit)
 - common law
- Focus on the protected legal rights and assets
 - German law

Liability in Damages

§ 823 I BGB

§ 823 I BGB – Liability in damages – Scheme

- (1) **harm** caused to life, body, health, freedom, property, or another right of another person
- (2) harm caused by an **action** or omission (only if there is an obligation to act!)
- (3) **causality** between action and the harm
- (4) action **unlawful** (no justification such as self-defense etc.)
- (5) **fault** element (intention/negligence) → by the person acting!
- (6) financial **loss** as a result of the harm

Contract Law	Tort Law
Assumption of fault (§ 280 I 2 BGB)	Necessity to positively prove fault
Possibility to attribute the fault of others (§ 278 BGB)	Attribution of fault is never possible
Protection of "assets"/capital/fortunes/financial loss (= all rights, claims, and assets of a person that have a value that can be estimated in monetary terms) under § 280 I BGB	Only goods listed in § 823 I BGB (no "assets"/capital/fortunes/financial loss) are protected

What is the difference between §§ 437 No. 3, 280 I, III, 283 BGB and §§ 437 No. 3, 311a II BGB? →

The point in time when impossibility occurred

- §283 BGB: after the conclusion of the contract (ex-post)
- §311a II BGB: before the conclusion of the contract (ex-ante)

What are the requirements for a buyer to have a right of withdrawal?

1. Consumer contract (§§ 312 I, 310 III BGB)
 - Consumer (§ 13 BGB) + Trader (§ 14 BGB) + payment of a price
2. Distance or off-premises contract (§ 312c I BGB / § 312b I BGB)
3. No exception of § 312g II BGB
4. Declaration of withdrawal (§ 355 I 2 BGB)
5. Declaration within the relevant period of time
 - 14 days from concluding the contract (§ 355 II BGB)
 - **BUT: § 356 II No. 1 lit. a BGB – for all contracts in which a consumer buys goods: from receipt of the good on**
 - **Dispatch** of the declaration of withdrawal is sufficient to comply with the time limit (§ 355 I 5 BGB)

Issue II: Does T owe compensation of EUR 250 to C according to § 823 I BGB?

Rule: § 823 I BGB (see slides above)

Application:

- (1) Harm caused to life, body, health, freedom, property, or another right of another person
→ (+), the baby stroller is the property of C
- (2) Harm caused by an action
→ (+), the property got damaged by T hitting the stroller with his bike while riding
- (3) Causality between action and the harm
→ (+), if T had not hit the stroller, there would not have been harm to C's property
- (4) Action unlawful (no justification such as self-defense)
→ (+), there is no justification for T damaging the stroller
- (5) Fault element (intention/negligence)
→ (+), T was distracted and, therefore, damaged the property negligently (§ 276 II BGB)
- (6) Financial loss for C as a result of the harm to her property
→ (+), repair costs of EUR 250

Conclusion: C can claim compensation from T in the amount of EUR 250 in line with § 823 I BGB.